Government Service Insurance System
Paseguruhan ng mga Naglilingkod sa Pamahalaan

GSIS

BAGONG PILIPINAS

EMERGENCY LOAN (ACTIVE MEMBER) APPLICATION FORM

IMPORTANT: *Proceeds of this loan will be credited to the eCard account of the borrower. Prior to the filing of the accomplished application form, the borrower must read thoroughly the terms and conditions below.*

TO BE FILLED OUT BY THE APPLICANT

Name of Applicant				**Birth Date (mm/dd/yyyy)**
Last Name	*First Name*	*Middle Name*		
GSIS ID No. ***(any of the ID No. below may be provided)***				
BP No.	**E-Card/UMID Card No.**	**E-Card/UMID Bank Account No.**		
Mailing/Residential Address				
No.	*Street*	*Brgy/District*	*Municipality/City*	*Zip Code*
Landline Phone No.	**Mobile Phone No.**	**Email Address**		
Present Office/Present Office Address				
Name of AAO				**Mobile No.**
Last Name	*First Name*	*Middle Name*		

TYPE OF LOAN: ☐ New ☐ Renewal

TERMS AND CONDITIONS

1. **QUALIFIED BORROWERS:** Active GSIS members shall be qualified to avail of an EL provided the following conditions are met:
   a. bona fide employee of the agency located in a declared calamity area or a resident of a declared calamity area, based on latest GSIS records as of the time of declaration of calamity;
   b. not on leave of absence without pay;
   c. updated in premium payments within the last six (6) months from receipt of application, taking into consideration the billing and posting schedules;
   d. has no pending administrative case and/or criminal charge; and
   e. the resulting net take-home pay of the active member-borrower after emergency loan availment is not lower than the amount required under the General Appropriations Act, after all required monthly obligations have been deducted.

2. **LOANABLE AMOUNT:** Qualified emergency loan borrowers shall be allowed a loan amount of Php20,000.00. For those with existing EL accounts and were hit by another disaster or calamity, the loanable amount shall be up to Forty Thousand Pesos (Php40,000.00) but the net proceeds shall not exceed Php20,000.00. The outstanding balance (OBAL) of the previous EL shall be deducted from the net proceeds of the new loan.

3. **INTEREST RATE AND LOAN TERM:** The interest rate shall be six percent (6%) computed in advance, with an annual effective rate of 10.4110384%. Loan repayment shall be made over three (3) years in thirty-six (36) equal monthly installments.

4. **FIRST DUE DATE (FDD) OF FIRST MONTHLY AMORTIZATION:** The FDD shall be due on the 10th day of the 2nd calendar month following the granting of the loan, and every 10th day of the succeeding month thereafter until the loan is fully paid.

5. **COMPUTATION OF MONTHLY LOAN AMORTIZATION:** The monthly loan amortization (MLA) shall be computed using this formula:

$$\text{MLA} = \frac{\text{Php } 20{,}000.00 + \text{Php } 3{,}600.00^{*}}{36} = \text{Php } 655.56$$

**3-year simple interest; computed as Php 20,000.00 x 6% x 3 years*

For EL with loanable amount of up to Php40,000.00, the computed MLA is Php1,311.11.

6. **PENALTY OF ARREARAGES:** An account is considered in arrears if:
   a. There is payment for monthly installment but the remittance of said payment is delayed;
   b. The actual amount paid for the month is less than the amount due for the same month; or
   c. There is no payment made for the month.

   It shall incur a penalty at the rate of 1% per month, compounded monthly, until the arrears are paid.

7. **LOAN REDEMPTION INSURANCE:** An EL Redemption Insurance (ELRI) of 1.2% of the gross loan amount shall be deducted from the proceeds of the loan. If the member dies during the term of the loan and the loan is up-to-date, the loan shall be deemed fully paid by virtue of the RI coverage. The ELRI is automatically terminated when the active member pays the loan in full or upon expiration of the term of the loan, whichever comes first.

8. **NO SERVICE FEE:** The member or pensioner availing of an EL shall not be charged a service fee by the GSIS. However, the GSIS shall pass on to the member or pensioner-borrower any fees that may be levied by the servicing banks for the processing of the loan.

9. **CREDITING OF LOAN PROCEEDS:** The proceeds of the loan shall be directly credited to the eCard/UMID-compliant eCard account of the pensioner-borrower.

10. **COMPUTATION OF OUTSTANDING BALANCE**: Diminishing balance shall be used in computing for the outstanding balance of the loan at any given time based on the provided annual effective rate. Interest for the month shall be computed based on the outstanding balance at the beginning of the month. All unpaid arrearages shall form part of the outstanding balance.

11. **HIERARCHY OF APPLICATION OF EL PAYMENT:** The payments for EL shall be applied in the following order of priority:
    a. Penalty, if any
    b. Redemption Insurance (for active pensioner)
    c. Interest
    d. Principal

12. **MATURITY OF THE LOAN:** The loan shall mature at the end of the payment term of thirty-six (36) months or upon retirement, subject to existing policies and guidelines on Choice of Loan Amortization Schedule for Pensioners (CLASP), separation, permanent disability or death of the borrower, whichever comes first.

    In the event of death of a member- or pensioner-borrower during the term of the loan, the insurance proceeds from the member's ELRI benefits shall be applied as payment to the current outstanding balance of the loan. The loan shall be deemed paid up by virtue of the ELRI if the member- or pensioner-borrower dies and the loan is up-to-date.

    In case the loan is in arrears or declared in default, only the theoretical outstanding balance (from date of death up to the end of loan term) shall be deemed fully paid while the arrearages shall be deducted from whatever benefits that may be due the deceased. In case the arrearages exceed the benefits due the deceased, the excess shall be deducted from the subsequent benefits due the heirs.

13. **LOAN PRE-TERMINATION:** The pensioner-borrower may pre-pay the loan anytime during its term without penalty by paying off the remaining outstanding principal and any unpaid interest up to the time of termination.

14. **DEDUCTION FROM THE LOAN PROCEEDS:** The following shall be deducted from the loan proceeds:
    a. OBAL of previous EL; and
    b. ELRI premium equivalent to 1.2% of the loan amount, for active member.

15. **CONDITION FOR RENEWAL:** Renewal before the full payment of a previous emergency loan shall be allowed subject to the eligibility conditions set forth under No 1. of the Terms and Conditions. Upon renewal of the loan, the outstanding balance of the previous EL together with the penalties, if any, shall be deducted from the proceeds of the new loan

16. **LOAN CANCELLATION:** Borrowers shall be allowed to cancel the loan agreement within a period of thirty (30) calendar days from the date of loan granting. In cases of cancellation of the loan upon the behest of the borrower, the principal amount (or the face value in the loan contract), plus the pro-rata interest and ELRI covering the days from loan granting up to the actual cancellation of the loan, shall be paid in full.

17. **AUTOMATIC DEDUCTION OF IN-ARREARS AND IN-DEFAULT ACCOUNTS FOR ACTIVE MEMBERS:** Any and all unpaid arrearages or the outstanding balance, if the loan is already in default, shall be deducted from the proceeds of MPL Plus and other GSIS loans which the active member-borrower may avail of.

18. **POLICY ON DEFAULT FOR ACTIVE MEMBERS:** An account is considered in default when the total unpaid obligation is equivalent to more than six (6) monthly amortizations. In the event of default, the outstanding balance of the loan becomes due and demandable without need of demand. In case of failure to pay the outstanding balance declared in default, the outstanding balance shall be charged with an interest equivalent to 12% per annum compounded monthly (p.a.c.m.) and a penalty of 6% p.a.c.m., from the date of default until the date of full payment.

    Any payment received after a loan has been declared in default shall be applied in the order of priority below:
    1. Penalty
    2. Interest
    3. Principal

19. **AVAILMENT OF LOAN:** The loan may be availed in accordance with the prescribed policies and guidelines.

20. **AUTHORITY TO APPLY PAYMENT:** In case of maturity of this loan and it remains outstanding either in whole or in part, both for principal and interest, the GSIS is authorized to collect, deduct or withhold from whatever benefits that may be due the Borrower, his/her heirs, beneficiaries, assignees or successors-in-interest, the amount equivalent to the outstanding balance of this loan, inclusive of interest, penalties and surcharges. Such authorization shall remain effective until full payment of the loan or any other outstanding obligation of the Borrower to the GSIS. It is expressly understood that any unpaid balance or outstanding obligation of the Borrower to the GSIS, by virtue of this loan and/or other obligation, shall constitute a lien over any benefits/claims that may be due the Borrower. Should such benefits/claims from the GSIS be insufficient to cover the remaining balance, GSIS shall not be prevented from filing the necessary civil and administrative action(s) for recovery either against the borrower or his estate.

21. **RECOVERY OF AMOUNT/S CREDITED IN THE ECARD:** GSIS shall have the right to recover by any legal means, any amount in the eCard account credited thereon by the GSIS due to fraud, misrepresentation or error on account of any transaction which the member may have with the GSIS.

22. **ATTORNEY'S FEES:** Should the GSIS be compelled to refer the Loan or any portion thereof to an Attorney-at-Law for collection or to enforce any right hereunder against the Borrower or avail of any remedy under the law or this Agreement, the Borrower shall pay an amount equivalent to twenty-five (25%) per cent of all amounts outstanding and unpaid as and for attorney's fees and litigation expenses.

23. **VENUE:** Any legal action, suit, or proceeding arising out or relating to this Agreement, shall be brought or instituted in the appropriate courts in the City of Pasay or such other venue at the exclusive option of GSIS. In the event the borrower initiates any legal action arising from or under this agreement, for whatever causes, the borrower agrees to initiate such action only in the City where the principal office of GSIS is located.

24. **NOTICES:** All notices required under this Agreement or for its enforcement shall be sent to the Office Address indicated in the Personal Data portion of this loan application. The notices sent to the said office address shall be valid and serve as sufficient notice to the Borrower for all legal intents and purposes.

I _____ (complete name of the borrower) confirm that I have read and fully understood the foregoing **EMERGENCY LOAN** Terms and Conditions and undertake to comply with them. Furthermore, I hereby authorize the GSIS, through my employer (government agency), to deduct from my terminal leave benefits any remaining outstanding loan obligations I may have with the GSIS upon my separation or retirement. I understand that the remittance thereof by my employer to the GSIS shall first be undertaken before the issuance of a GSIS clearance for the release of my remaining terminal leave benefits, if any.
I confirm my understanding of the Privacy Policy of the GSIS pursuant to the requirements of Republic Act (R.A.) No. 10173, otherwise known as the Data Privacy Act, and consent to the manner of collection, use, access, disclosure and processing of my personal and sensitive personal data by the GSIS.

Finally, pursuant to R.A. No. 9510, otherwise known as the "Credit Information System Act", and its Implementing Rules and Regulations (IRR), I hereby acknowledge and consent to: 1) the regular submission and disclosure of my basic credit data and updates thereon to the Credit Information Corporation (CIC); and 2) the sharing of my basic credit data with lenders authorized by the CIC, and credit reporting agencies and outsourced entities duly accredited by the CIC, subject to the provisions of R.A. No. 9510, its IRR and other relevant laws and regulations.

DATA PRIVACY CONSENT

I hereby confirm my understanding of the Privacy Policy of the GSIS pursuant to the requirements of Republic Act No. 10173, otherwise known as the DPA, its Implementing Rules and Regulations and other issuances of the National Privacy Commission and consent to the manner of and safety measures to be observed in the collection, use, access, disclosure, processing and disposal of my personal and sensitive personal data by the GSIS.

_____	_____	_____
SIGNATURE OF MEMBER/ BORROWER	**TIN**	**DATE SIGNED**